

Fiscal Policy, Budget & National Income

Deficits, Budget jargon and GDP/GVA concepts UPSC recycles yearly.

Portion focus ~45% · Topic: econ-basics

PYQ themes: Fiscal deficit · Budget terms · GDP/GVA

Why UPSC asks this

Budget documents create a predictable vocabulary test each year.

Deficit grammar

Revenue deficit signals dissaving on revenue account; fiscal deficit is borrowing need; primary deficit strips interest. FRBM spirit — sustainability.

National income

Production/income/expenditure approaches at idea level; base year revisions; limitations of GDP as welfare.

Must remember

- Fiscal, revenue, primary deficits — definitions
- Capital vs revenue expenditure/receipts
- GDP vs GVA; nominal vs real